

Investing in
the future of
communication
infrastructure.

Peppertree Capital Management, Inc.

FUND X REPORT –

4th Quarter 2024





March 31, 2025

Dear Peppertree Capital Fund X, LP or Peppertree Capital Fund X QP, LP Investor:

This report covers investments by Peppertree Capital Fund X, LP and Peppertree Capital Fund X QP, LP (collectively, the "Fund"). Unless stated otherwise, all information is as of December 31, 2024. If you are an investor in other funds managed by Peppertree Capital Management, Inc. ("Peppertree"), you will receive a separate report for those entities.

Fund Stats as of 12/31/2024 (\$ in millions)

Commitments:	\$2,040.0
Drawn:	\$488.7
Undrawn:	\$1,551.3
Realized Value:	-
Unrealized Value:	\$562.5
Total Value:	\$562.5
Gross MOIC:	1.38x

Valuations

The Fund's portfolio company valuations as of quarter end are as follows:

Information as of 12/31/2024	Date of Initial Investment	Cost Basis ¹	Realized	Value of Remaining Investment	Gain / Loss	Gross MOIC
Current Investments						
K2 Towers III Holdings, LLC	Dec 2023	\$172,505,326	\$-	\$293,817,365	\$121,312,039	1.70x
Blue Sky Towers III, LLC	Dec 2023	9,200,000	-	15,892,857	6,692,857	1.73x
Northstar Towers II, LLC	Dec 2023	6,075,000	-	6,075,000	-	1.00x
THH Holdings, LLC ("Tarpon Towers")	Dec 2023	26,000,000	-	26,993,276	993,276	1.04x
Wireless Realty Advisors II, LLC	Dec 2023	10,840,000	-	10,840,000	-	1.00x
Xcell Towers III, LLC	Dec 2023	3,440,000	-	4,920,186	1,480,186	1.43x
APC Towers IV, LLC	Jan 2024	13,250,000	-	14,699,417	1,449,417	1.11x
Branch Towers VI, LLC	Jan 2024	3,975,000	-	4,870,122	895,122	1.23x
Cell Ventures Capital, LLC	Jan 2024	3,450,000	-	3,482,372	32,372	1.01x
EIP Consolidated, LLC ("Everest")	Jan 2024	63,235,000	-	71,554,794	8,319,794	1.13x
1Source Towers II, LLC	Feb 2024	1,270,000	-	1,285,280	15,280	1.01x
Bennett Towers I, LLC	Feb 2024	1,130,000	-	1,453,863	323,863	1.29x
Sun State Towers V, LLC	Mar 2024	2,350,000	-	2,810,119	460,119	1.20x
TowerCo V Holdings, LLC	Mar 2024	9,917,965	-	11,403,326	1,485,361	1.15x
Tower Lease Partners, LLC	Mar 2024	74,000	-	75,211	1,211	1.02x
Wireless Edge Towers III, LLC	Apr 2024	4,360,000	-	4,360,000	-	1.00x
Clearview Tower Company III, LLC	Apr 2024	2,580,500	-	3,803,721	1,223,221	1.47x
RU Towers, LLC	Apr 2024	215,000	-	215,000	-	1.00x
Horvath Towers VI, LLC	May 2024	5,579,000	-	5,942,008	363,008	1.07x
NexTower Development Group II, LLC	May 2024	4,477,500	-	8,204,554	3,727,054	1.83x
Blue Sky Towers Caribe, LLC	May 2024	8,400,000	-	8,400,000	-	1.00x
TowerCo VI Holdings, LLC	Jun 2024	38,197,390	-	39,557,000	1,359,610	1.04x
CV Equity I, LLC	Jun 2024	3,688,938	-	4,152,668	463,730	1.13x
Blue Sky Towers IV, LLC	Jun 2024	10,200,000	-	14,082,401	3,882,401	1.38x
Everest Blue Sites US, LLC ("Everest Portugal")	Aug 2024	990,000	-	990,000	-	1.00x
WE Holdings I, LLC	Oct 2024	1,541,000	-	1,641,631	100,631	1.07x
Liberty Wireless Infrastructure I, LLC	Oct 2024	970,000	-	970,000	-	1.00x
TOTAL		\$407,911,619	\$-	\$562,492,171	\$154,580,552	1.38x

¹ Except where noted, all figures in this report include investments by Peppertree Capital FX Co-Investors, LLC, the entity utilized by Peppertree's principals to contribute capital on a pro rata basis with the Fund.



Subsequent to December 31, 2024, the Fund made the following investments:

Company	Date of Initial Investment	Investment as of 12/31/2024	Investment after 12/31/2024	Total Investment
Current Investments				
K2 Towers III Holdings, LLC	Dec 2023	\$172,505,326	\$4,500,000	\$177,005,326
Blue Sky Towers III, LLC	Dec 2023	9,200,000	2,250,000	11,450,000
TTH Holdings, LLC ("Tarpon Towers")	Dec 2023	26,000,000	3,500,000	29,500,000
Wireless Realty Advisors II, LLC	Dec 2023	10,840,000	4,385,000	15,225,000
Xcell Towers III, LLC	Dec 2023	3,440,000	1,630,000	5,070,000
APC Towers IV, LLC	Jan 2024	13,250,000	9,625,000	22,875,000
Branch Towers VI, LLC	Jan 2024	3,975,000	1,450,000	5,425,000
EIP Consolidated, LLC ("Everest")	Jan 2024	63,235,000	9,098,000	72,333,000
Bennett Towers I, LLC	Feb 2024	1,130,000	500,000	1,630,000
Sun State Towers V, LLC	Mar 2024	2,350,000	1,050,000	3,400,000
Wireless Edge Towers III, LLC	Apr 2024	4,360,000	560,000	4,920,000
Clearview Tower Company III, LLC	Apr 2024	2,580,500	1,091,750	3,672,250
RU Towers, LLC	Apr 2024	215,000	310,000	525,000
Horvath Towers VI, LLC	May 2024	5,579,000	2,988,750	8,567,750
NexTower Development Group II, LLC	May 2024	4,477,500	600,000	5,077,500
Blue Sky Towers Caribe, LLC	May 2024	8,400,000	3,335,000	11,735,000
TowerCo VI Holdings, LLC	Jun 2024	38,197,390	19,842,800	58,040,190
CV Equity I, LLC	Jun 2024	3,688,938	1,100,000	4,788,938
Blue Sky Towers IV, LLC	Jun 2024	10,200,000	5,300,000	15,500,000
WE Holdings I, LLC	Oct 2024	1,541,000	952,000	2,493,000
Liberty Wireless Infrastructure I, LLC	Oct 2024	970,000	855,000	1,825,000
Everest ANZ US Holdings, LLC	Jan 2025	-	4,900,000	4,900,000
BBDA, LLC	Feb 2025	-	640,000	640,000
Wireless Realty Advisors III, LLC	Feb 2025	-	2,635,000	2,635,000
TOTAL			\$83,098,300	

Portfolio Summary

Detailed information about each of the portfolio companies can be found in the attachments to this report. The following is a summary of the companies' activity as of December 31, 2024:

Portfolio Company Assets	Towers Built or Acquired	Other Assets Owned	Assets in Development ²	Assets Pending Acquisition	Assets Pending Sale	Assets Prev. Sold
Current Investments						
K2 Towers III Holdings, LLC	644	66	-	150	-	-
Blue Sky Towers III, LLC	86	20	4	-	-	-
Northstar Towers II, LLC	8	-	161	-	-	-
TTH Holdings, LLC ("Tarpon Towers")	343	65	66	5	-	-
Wireless Realty Advisors II, LLC	1	58	-	17	-	-
Xcell Towers III, LLC	16	-	16	3	-	-
APC Towers IV, LLC	72	10	300	2	-	-
Branch Towers VI, LLC	26	-	150	-	-	-
Cell Ventures Capital, LLC	1	35	-	5	-	-
EIP Consolidated, LLC ("Everest")	632	836	169	139	-	-
1Source Towers II, LLC	10	-	20	-	-	-
Bennett Towers I, LLC	3	-	11	-	-	-
Sun State Towers V, LLC	4	-	101	-	-	-
TowerCo V Holdings, LLC	954	151	37	-	-	-
Tower Lease Partners, LLC	-	8	-	-	-	-
Wireless Edge Towers III, LLC	1	3	80	1	-	-
Clearview Tower Company III, LLC	31	2	11	4	-	-
RU Towers, LLC	-	-	22	-	-	-
Horvath Towers VI, LLC	28	3	178	-	-	-
NexTower Development Group II, LLC	25	2	79	-	-	-
Blue Sky Towers Caribe, LLC	12	1	50	9	-	-
TowerCo VI Holdings, LLC	29	-	371	3	-	-
CV Equity I, LLC	5	32	-	7	-	-
Blue Sky Towers IV, LLC	11	2	46	7	-	-
Everest Blue Sites US, LLC ("Everest Portugal")	-	299	-	99	-	-
WE Holdings I, LLC	-	3	-	15	-	-
Liberty Wireless Infrastructure I, LLC	-	1	-	5	-	-
Total	2,942	1,597	1,872	471	-	-

What We Are Seeing

Prior to the November, 2024, election, we considered writing an edition of "What We are Seeing" to advise you how to vote assuming you were a single-issue voter and the single issue you cared so deeply about was the prosperity of the wireless communication infrastructure industry. We had done such pieces for prior elections; however, we chose not to do it this time, because, unlike in prior years, there really wasn't much to say. There were not a lot of pressing issues and neither candidate was on the record with comments that were meaningful and relevant. But, time has now passed, and we have

² The definition of the term "development" is not consistent across the portfolio companies. Regardless of how a portfolio company uses this term, it is worth noting that not all projects in "development" will mature into completed towers.



early indications of how the current administration may have an impact on the economy and, more specifically, on our industry.

The potential areas of focus are: (a) federal government downsizing, (b) BEAD, (c) tariffs, and (d) predictability. We will address them in that order.

(a) It's hard to go a day without seeing a new headline regarding the Department of Government Efficiency, commonly referred to as "DOGE." And the Federal Communications Commission ("FCC") is one of many agencies under its microscope. On March 12th, the FCC issued a Public Notice titled, we kid you not, *In Re: Delete, Delete, Delete*³ which seeks public comment on "every rule, regulation, or guidance document that the FCC should eliminate for the purposes of alleviating unnecessary regulatory burdens." The good news is that tower companies are not subject to an FCC licensing program⁴ such as the one that governs spectrum. Thus, any deregulation efforts at the FCC would be unlikely to have any impact on our tower investments. And, with regard to spectrum, decreased regulation is likely to spur additional spectrum auctions which should lead to increased leasing activity by the carriers as they deploy new equipment and potential spectrum investment opportunities for us.

(b) Commerce Secretary Howard Lutnick recently stated he planned to do a "rigorous review" of the Broadband Equity, Access and Deployment Program, commonly referred to as "BEAD." This program, designed to bring subsidized internet to rural areas, primarily via fiber, has deservedly been the target of criticism for its slow pace and high degree of regulatory burdens. *Amazingly, no projects have begun using BEAD money since it was created in 2021.* Recent proposals to improve BEAD have downplayed the preference for fiber, meaning that fixed wireless and mobile (both of which rely on the terrestrial tower network)⁵, as well as satellites, could become eligible for BEAD funding. On the other hand, Evan Feinman, who directed the BEAD program for the past three years, recently stated in his resignation email that the administration should "NOT change [BEAD] to benefit technology that delivers slower speeds at higher costs to the household paying the bill" – a dig at Starlink.

Mr. Feinman is highlighting what we have been saying for years: satellites are low capacity and high latency – the exact opposite of what you want and expect from your handset and/or home internet connection. Can they be a stopgap in low population density areas? Yes, but they should be viewed as complementary to, and not competitive with, terrestrial networks.

How would any change to BEAD affect us? Contrary to a number of infrastructure funds that were formed a few years ago to take advantage of BEAD for rural fiber projects (none of which have started, as noted above), we have never premised any of our investments on the availability of such funding so do not view evolution in that program as significant. Could elimination of the fiber preference provide some opportunities for our tower companies? Maybe, but we do not project a material impact.

(c) On the same day the FCC issued its *In Re: Delete, Delete, Delete* notice, the administration imposed a 25% tariff on imported steel. While the towers our companies purchase are fabricated domestically – and they have not seen any price increases to date on the back of the tariff – it is possible some of the raw steel may be imported (or prices for domestically produced steel could theoretically increase as a result of the tariffs). So, for the sake of the argument, let's play it out and assume \$50,000 worth of raw steel goes into an \$80,000 physical tower structure (the remaining \$30,000 represents labor and manufacturing costs, SG&A, and vendor profits) and total build costs for a tower are \$350,000 (the remaining \$270,000 is spent on zoning, regulatory, environmental, engineering, and construction). In that case, a 25% increase on \$50,000 in raw steel translates to \$12,500, which represents a 3.6% increase of total build costs for a tower. Even if such costs were fully passed through, this amount would have an insignificant impact on our models and returns; raw steel represents only a small portion of total build costs. Would we prefer not to pay up to an extra \$12,500 per tower? Of course. But, as we've noted many times over the years, minor headwinds in various external factors are dwarfed by the effect of increases in data demand and lease-up.

(d) The final issue is predictability. Our business is good. We don't want waves. We don't want "headline risk." Our hypothetical one-issue voter should seek boredom – even if delivered by a candidate she would not vote for if she were considering the myriad of other issues. To be clear, our business is largely uncorrelated with the broader markets. No one stops using their handset because the stock market is down or egg prices are up. All of us have seen over the last several

³ FCC news release related to FCC Public Notice DA 25-219, released March 12, 2025.

⁴ Tower owners are merely required to file Antenna Structure Registrations ("ASRs") with the FCC in order to monitor which, if any, towers require specialized painting and/or lighting based on height or distance from an airport, etc.

⁵ Patrick Halley, the CEO of the Wireless Infrastructure Association, sent a letter to Commerce Secretary Howard Lutnick earlier this month suggesting the elimination of the "fiber preference," and allowing states to determine the appropriate technology mix, including fixed wireless and mobile.



years that private tower valuations do not follow the stock prices of the public companies, nor do they fluctuate as one might imagine with interest rates, whether increasing or decreasing.

But, we need to interact with people and entities that are affected by rough waters – even though we are sitting on the dock. Will lenders be wary if they have low confidence in their internal cost-of-funds models? Will counterparties with erratic public stock prices act erratically? The answer to both questions is possibly.

Needless to say, so, of course, we'll say it: the following does not necessarily indicate who we voted for⁶, but President Trump is not predictable. Is being unpredictable an asset in world politics? A majority of the voters in the last election have, in essence, answered "yes" to that question. Are President Trump's talking points pro-business? Whether you view "pro-business" as positive or negative, and whether you voted for him or against him, the great majority of people would say "yes." *Are his impulses pro-business?* That's the key issue. We can debate whether tariffs, as an example, are pro-business, but it's hard to argue that unpredictability about tariffs is pro-business. If people understand a policy position, they can plan (which, incidentally, might make unpredictability a benefit in world politics). But, if decision-makers cannot understand the rules under which they need to operate, then that leads to an inability to plan – which leads to a higher likelihood of inefficiency and to the anxiety we are seeing in the markets at the time of this writing.

What's the take-away? *We are going to be fine.*

And, we hope it's not too presumptuous to suggest that we should all watch less cable news of whatever flavor. Once or twice a week, listen to music or a science podcast while you are getting ready in the morning instead. The Top 10 plays on SportsCenter are typically amazing (and less stressful) even if you are not a sports fan. The manufactured political headlines of today will be overtaken by subsequent events; you'll be caught up if you tune in every few days.

Financial and Administrative Matters

Enclosed with this report are the Fund's audited financial statements for the year ended December 31, 2024. Your individual statement of partner's capital has been uploaded to the Peppertree portal. Estimated Schedules K-1 for 2024 will be distributed during the first week of April. The final Schedules K-1 are anticipated to be available in July.

Through the date of this report, the Fund (excluding Peppertree Capital FX Co-Investors, LLC) has drawn \$587,857,093 of the \$2,030,541,990 of its committed capital – 29.0%.

Thank you for your continuing confidence in our efforts. If you have any questions or concerns, please feel free to contact any of us.

Very truly yours,
PEPPERTREE CAPITAL MANAGEMENT, INC.

By: 
F. Howard Mandel
Co-President

By: 
Ryan D. Lepene
Co-President

⁶ We did not take a poll, but there is an even number of Priuses (or Prii, if you prefer) and pick-up trucks in our parking lot.



Portfolio Review

K2 TOWERS III HOLDINGS, LLC
k2towers.com



Investment Overview	
Headquarters:	Chagrin Falls, OH
Business Focus:	Tower Acquisition
Date of Initial Investment:	Dec 2023
Stage of Investment:	Growth Equity
Fund X Ownership %:	26.9%
Peppertree Board Representation:	F. Howard Mandel and Ryan D. Lepene
Other Institutional Investors:	None

Investment Details					
Date	Security	Cost	Fair Value	Increase	Gross Multiple
2023	Preferred LLC Interests	\$92,730,326			
2024	Preferred LLC Interests	79,775,000			
		\$172,505,326	\$293,817,365	\$121,312,039	1.70x

BLUE SKY TOWERS III, LLC
Jim Rech, President
blueskytower.com



Investment Overview	
Headquarters:	Boston, MA
Business Focus:	Tower Acquisition and Development
Date of Initial Investment:	Dec 2023
Stage of Investment:	Growth Equity
Fund X Ownership %:	12.1%
Peppertree Board Representation:	Ryan D. Lepene and F. Howard Mandel
Other Institutional Investors:	None

Investment Details					
Date	Security	Cost	Fair Value	Increase	Gross Multiple
2023	Preferred LLC Interests	\$1,100,000			
2024	Preferred LLC Interests	8,100,000			
		\$9,200,000	\$15,892,857	\$6,692,857	1.73x

NORTHSTAR TOWERS II, LLC
Jesse Styles, President
nstartowers.com



Investment Overview	
Headquarters:	Cleveland, OH
Business Focus:	Tower Development
Date of Initial Investment:	Dec 2023
Stage of Investment:	Growth Equity
Fund X Ownership %:	69.0%
Peppertree Board Representation:	F. Howard Mandel and Ryan D. Lepene
Other Institutional Investors:	None

Investment Details					
Date	Security	Cost	Fair Value	Increase	Gross Multiple
2023	Preferred LLC Interests	\$275,000			
2024	Preferred LLC Interests	5,800,000			
		\$6,075,000	\$6,075,000	-	1.00x

TTH HOLDINGS, LLC ("Tarpon Towers")
William Freeman, CEO
Brett Buggeln, President
tarpontowers.com



Investment Overview	
Headquarters:	Bradenton, FL
Business Focus:	Tower Development
Date of Initial Investment:	Dec 2023
Stage of Investment:	Growth Equity
Fund X Ownership %:	8.6%
Peppertree Board Representation:	Ryan D. Lepene, F. Howard Mandel, and Jack Gillette
Other Institutional Investors:	None

Investment Details					
Date	Security	Cost	Fair Value	Increase	Gross Multiple
2023	Preferred LLC Interests	\$3,000,000			
2024	Preferred LLC Interests	23,000,000			
		\$26,000,000	\$26,993,276	\$993,276	1.04x

**WIRELESS REALTY ADVISORS II, LLC**Tom Remillard, President
wirelessra.com**Investment Overview**

Headquarters:	Boston, MA
Business Focus:	Tower Acquisition
Date of Initial Investment:	Dec 2023
Stage of Investment:	Growth Equity
Fund X Ownership %:	35.3%
Peppertree Board Representation:	Ryan D. Lepene and F. Howard Mandel
Other Institutional Investors:	None

Investment Details

Date	Security	Cost	Fair Value	Increase	Gross Multiple
2023	Preferred LLC Interests	\$3,150,000			
2024	Preferred LLC Interests	7,690,000			
		\$10,840,000	\$10,840,000	-	1.00x

XCELL TOWERS III, LLCBrian Beaudette, CEO
xcelltowers.com**Investment Overview**

Headquarters:	Alpharetta, GA
Business Focus:	Tower Development
Date of Initial Investment:	Dec 2023
Stage of Investment:	Growth Equity
Fund X Ownership %:	40.8%
Peppertree Board Representation:	Ryan D. Lepene and F. Howard Mandel
Other Institutional Investors:	None

Investment Details

Date	Security	Cost	Fair Value	Increase	Gross Multiple
2023	Preferred LLC Interests	\$150,000			
2024	Preferred LLC Interests	3,290,000			
		\$3,440,000	\$4,920,186	\$1,480,186	1.43x

APC TOWERS IV, LLCDanny Agresta, CEO
apctowers.com**Investment Overview**

Headquarters:	Raleigh, NC
Business Focus:	Tower Development
Date of Initial Investment:	Jan 2024
Stage of Investment:	Growth Equity
Fund X Ownership %:	40.2%
Peppertree Board Representation:	Ryan D. Lepene, F. Howard Mandel, and Jack Gillette
Other Institutional Investors:	None

Investment Details

Date	Security	Cost	Fair Value	Increase	Gross Multiple
2024	Preferred LLC Interests	\$13,250,000	\$14,699,417	\$1,449,417	1.11x

BRANCH TOWERS VI, LLCCurtis Branch, President & CEO
branchcomm.net**Investment Overview**

Headquarters:	Tulsa, OK
Business Focus:	Tower Development
Date of Initial Investment:	Jan 2024
Stage of Investment:	Growth Equity
Fund X Ownership %:	44.3%
Peppertree Board Representation:	Ryan D. Lepene, F. Howard Mandel, and Cynthia Debevec
Other Institutional Investors:	None

Investment Details

Date	Security	Cost	Fair Value	Increase	Gross Multiple
2024	Preferred LLC Interests	\$3,975,000	\$4,870,122	\$895,122	1.23x



CELL VENTURES CAPITAL, LLC
cell-ventures.com



Investment Overview	
Headquarters:	Denver, CO
Business Focus:	Tower Acquisition
Date of Initial Investment:	Jan 2024
Stage of Investment:	Growth Equity
Fund X Ownership %:	17.3%
Peppertree Board Representation:	Ryan D. Lepene, F. Howard Mandel, and Jack Gillette
Other Institutional Investors:	None

Investment Details					
Date	Security	Cost	Fair Value	Increase	Gross Multiple
2024	Preferred LLC Interests	\$3,450,000	\$3,482,372	\$32,372	1.01x

EIP CONSOLIDATED, LLC ("Everest")
Matt Newton, CEO
Mike Mackey, President
everestinfrastructure.com



Investment Overview	
Headquarters:	Pittsburgh, PA
Business Focus:	Tower Acquisition and Development
Date of Initial Investment:	Jan 2024
Stage of Investment:	Growth Equity
Fund X Ownership %:	7.6%
Peppertree Board Representation:	Ryan D. Lepene, F. Howard Mandel, and Sean Lojek
Other Institutional Investors:	None

Investment Details					
Date	Security	Cost	Fair Value	Increase	Gross Multiple
2024	Preferred LLC Interests	\$63,235,000	\$71,554,794	\$8,319,794	1.13x

1SOURCE TOWERS II, LLC
Roger Laperna, President
1sourcetowers.com



Investment Overview	
Headquarters:	Tampa, FL
Business Focus:	Tower Development
Date of Initial Investment:	Feb 2024
Stage of Investment:	Growth Equity
Fund X Ownership %:	36.5%
Peppertree Board Representation:	Ryan D. Lepene, F. Howard Mandel, and Cynthia L. Debevec
Other Institutional Investors:	None

Investment Details					
Date	Security	Cost	Fair Value	Increase	Gross Multiple
2024	Preferred LLC Interests	\$1,270,000	\$1,285,280	\$15,280	1.01x

BENNETT TOWERS I, LLC
Kristen Bennett, President
John Hemphill, CEO



Investment Overview	
Headquarters:	Tulsa, OK
Business Focus:	Tower Development
Date of Initial Investment:	Feb 2024
Stage of Investment:	Growth Equity
Fund X Ownership %:	60.6%
Peppertree Board Representation:	Ryan D. Lepene, F. Howard Mandel, and Sean Lojek
Other Institutional Investors:	None

Investment Details					
Date	Security	Cost	Fair Value	Increase	Gross Multiple
2024	Preferred LLC Interests	\$1,130,000	\$1,453,863	\$323,863	1.29x



SUN STATE TOWERS V, LLC
Chad Ward, CEO
sunstatetower.com



Investment Overview

Headquarters:	Gilbert, AZ
Business Focus:	Tower Development
Date of Initial Investment:	Mar 2024
Stage of Investment:	Growth Equity
Fund X Ownership %:	100.0%
Peppertree Board Representation:	Ryan D. Lepene, F. Howard Mandel, and Daniel Weiser
Other Institutional Investors:	None

Investment Details

Date	Security	Cost	Fair Value	Increase	Gross Multiple
2024	Preferred LLC Interests	\$2,350,000	\$2,810,119	\$460,119	1.20x

TOWERCO V HOLDINGS, LLC
Todd Boyer, CEO
towerco.com



TowerCo

Investment Overview

Headquarters:	Cary, NC
Business Focus:	Tower Acquisition and Development
Date of Initial Investment:	Mar 2024
Stage of Investment:	Growth Equity
Fund X Ownership %:	1.0%
Peppertree Board Representation:	F. Howard Mandel, Ryan D. Lepene, John Ranieri, and Sean Lojek
Other Institutional Investors:	None

Investment Details

Date	Security	Cost	Fair Value	Increase	Gross Multiple
2024	Preferred LLC Interests	\$9,917,965	\$11,403,326	\$1,485,361	1.15x

TOWER LEASE PARTNERS, LLC
towerleasepartners.com



Investment Overview

Headquarters:	Chagrin Falls, OH
Business Focus:	Tower Acquisition
Date of Initial Investment:	Mar 2024
Stage of Investment:	Growth Equity
Fund X Ownership %:	1.7%
Peppertree Board Representation:	Ryan D. Lepene and Daniel Weiser
Other Institutional Investors:	None

Investment Details

Date	Security	Cost	Fair Value	Increase	Gross Multiple
2024	Preferred LLC Interests	\$74,000	\$75,211	\$1,211	1.02x

WIRELESS EDGE TOWERS III, LLC
John Arthur, CEO
wirelessedge.com



Investment Overview

Headquarters:	Rhinebeck, NY
Business Focus:	Tower Development
Date of Initial Investment:	Apr 2024
Stage of Investment:	Growth Equity
Fund X Ownership %:	100.0%
Peppertree Board Representation:	Ryan D. Lepene, F. Howard Mandel, and Sean Lojek
Other Institutional Investors:	None

Investment Details

Date	Security	Cost	Fair Value	Increase	Gross Multiple
2024	Preferred LLC Interests	\$4,360,000	\$4,360,000	-	1.00x

**CLEARVIEW TOWER COMPANY III, LLC**Steve Mejia, CEO
clearviewtower.net**Investment Overview**

Headquarters:	Edison, NJ
Business Focus:	Tower Development
Date of Initial Investment:	Apr 2024
Stage of Investment:	Growth Equity
Fund X Ownership %:	18.3%
Peppertree Board Representation:	Ryan D. Lepene, F. Howard Mandel, and Sean Lojek
Other Institutional Investors:	None

Investment Details

Date	Security	Cost	Fair Value	Increase	Gross Multiple
2024	Preferred LLC Interests	\$2,580,500	\$3,803,721	\$1,223,221	1.47x

RU TOWERS, LLC

riseuptowers.com

**Investment Overview**

Headquarters:	Ambler, PA
Business Focus:	Tower Development
Date of Initial Investment:	Apr 2024
Stage of Investment:	Growth Equity
Fund X Ownership %:	30.1%
Peppertree Board Representation:	F. Howard Mandel and Ryan D. Lepene
Other Institutional Investors:	None

Investment Details

Date	Security	Cost	Fair Value	Increase	Gross Multiple
2024	Preferred LLC Interests	\$215,000	\$215,000	-	1.00x

HORVATH TOWERS VI, LLCJackie Horvath, Founder
Erin Horvath, President & CEO
horvathcommunications.com**Investment Overview**

Headquarters:	South Bend, IN
Business Focus:	Tower Development
Date of Initial Investment:	May 2024
Stage of Investment:	Growth Equity
Fund X Ownership %:	42.8%
Peppertree Board Representation:	F. Howard Mandel and Daniel Weiser
Other Institutional Investors:	None

Investment Details

Date	Security	Cost	Fair Value	Increase	Gross Multiple
2024	Preferred LLC Interests	\$5,579,000	\$5,942,008	\$363,008	1.07x

NEXTOWER DEVELOPMENT GROUP II, LLCDave Boeff, CEO
nextower.net**Investment Overview**

Headquarters:	Saint Johns, FL
Business Focus:	Tower Development
Date of Initial Investment:	May 2024
Stage of Investment:	Growth Equity
Fund X Ownership %:	38.5%
Peppertree Board Representation:	Ryan D. Lepene and F. Howard Mandel
Other Institutional Investors:	None

Investment Details

Date	Security	Cost	Fair Value	Increase	Gross Multiple
2024	Preferred LLC Interests	\$4,477,500	\$8,204,554	\$3,727,054	1.83x



BLUE SKY TOWERS CARIBE, LLC
 Jim Rech, President
 blueskytower.com



Investment Overview

Headquarters: Boston, MA
 Business Focus: Tower Acquisition and Development
 Date of Initial Investment: May 2024
 Stage of Investment: Growth Equity
 Fund X Ownership %: 100.0%
 Peppertree Board Representation: Ryan D. Lepene and F. Howard Mandel
 Other Institutional Investors: None

Investment Details

Date	Security	Cost	Fair Value	Increase	Gross Multiple
2024	Preferred LLC Interests	\$8,400,000	\$8,400,000	–	1.00x

TOWERCO VI HOLDINGS, LLC
 Todd Boyer, CEO
 towerco.com



Investment Overview

Headquarters: Cary, NC
 Business Focus: Tower Acquisition and Development
 Date of Initial Investment: Jun 2024
 Stage of Investment: Growth Equity
 Fund X Ownership %: 99.2%
 Peppertree Board Representation: F. Howard Mandel, Ryan D. Lepene, John Ranieri, and Sean Lojek
 Other Institutional Investors: None

Investment Details

Date	Security	Cost	Fair Value	Increase	Gross Multiple
2024	Preferred LLC Interests	\$38,197,390	\$39,557,000	\$1,359,610	1.04x

CV EQUITY I, LLC
 William Freeman, President
 Brett Buggeln, CEO



Investment Overview

Headquarters: Denver, CO
 Business Focus: Tower Acquisition
 Date of Initial Investment: Jun 2024
 Stage of Investment: Growth Equity
 Fund X Ownership %: 30.1%
 Peppertree Board Representation: Ryan D. Lepene, F. Howard Mandel, and Jack Gillette
 Other Institutional Investors: None

Investment Details

Date	Security	Cost	Fair Value	Increase	Gross Multiple
2024	Preferred LLC Interests	\$3,688,938	\$4,152,668	\$463,730	1.13x

BLUE SKY TOWERS IV, LLC
 Jim Rech, President
 blueskytower.com



Investment Overview

Headquarters: Boston, MA
 Business Focus: Tower Acquisition and Development
 Date of Initial Investment: Jun 2024
 Stage of Investment: Growth Equity
 Fund X Ownership %: 100.0%
 Peppertree Board Representation: Ryan D. Lepene and F. Howard Mandel
 Other Institutional Investors: None

Investment Details

Date	Security	Cost	Fair Value	Increase	Gross Multiple
2024	Preferred LLC Interests	\$10,200,000	\$14,082,401	\$3,882,401	1.38x



EVEREST BLUE SITES US, LLC ("Everest Portugal")

Matt Newton, CEO
Mike Mackey, President
everestinfrastructure.com

Investment Overview

Headquarters:	Pittsburgh, PA
Business Focus:	Tower Acquisition and Development
Date of Initial Investment:	Aug 2024
Stage of Investment:	Growth Equity
Fund X Ownership %:	2.2%
Peppertree Board Representation:	Ryan D. Lepene, F. Howard Mandel, and Sean Lojek
Other Institutional Investors:	None

Investment Details

Date	Security	Cost	Fair Value	Increase	Gross Multiple
2024	Preferred LLC Interests	\$990,000	\$990,000	–	1.00x

WE HOLDINGS I, LLC

Patrick Hale, CEO
wirelessequity.com



Investment Overview

Headquarters:	La Mesa, CA
Business Focus:	Tower Acquisition
Date of Initial Investment:	Oct 2024
Stage of Investment:	Growth Equity
Fund X Ownership %:	100.0%
Peppertree Board Representation:	Ryan D. Lepene, F. Howard Mandel, and Daniel Weiser
Other Institutional Investors:	None

Investment Details

Date	Security	Cost	Fair Value	Increase	Gross Multiple
2024	Preferred LLC Interests	\$1,541,000	\$1,641,631	\$100,631	1.07x

LIBERTY WIRELESS INFRASTRUCTURE I, LLC

Jim Rech, President & CEO



Investment Overview

Headquarters:	Boston, MA
Business Focus:	Tower Acquisition
Date of Initial Investment:	Oct 2024
Stage of Investment:	Growth Equity
Fund X Ownership %:	100.0%
Peppertree Board Representation:	Ryan D. Lepene and F. Howard Mandel
Other Institutional Investors:	None

Investment Details

Date	Security	Cost	Fair Value	Increase	Gross Multiple
2024	Preferred LLC Interests	\$970,000	\$970,000	–	1.00x

COMBINED AUDITED FINANCIAL STATEMENTS

Peppertree Capital Fund X, LP
Peppertree Capital Fund X QP, LP
Year ended December 31, 2024
With Report of Independent Auditors

Peppertree Capital Fund X, LP and Peppertree Capital Fund X QP, LP

Combined Audited Financial Statements

Year Ended December 31, 2024

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Report of Independent Auditors

The Limited and General Partners
Peppertree Capital Fund X, LP and Peppertree Capital Fund X QP, LP

Opinion

We have audited the combined financial statements of Peppertree Capital Fund X, LP and Peppertree Capital Fund X QP, LP (the “Partnerships”), which comprise the combined statement of financial condition, including the combined schedule of investments, as of December 31, 2024, and the related combined statements of operations, changes in partners’ capital, and cash flows for the year then ended, and the related notes (collectively referred to as the “financial statements”).

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Partnerships at December 31, 2024, and the results of their operations, changes in their partners’ capital and their cash flows for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinion

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor’s Responsibilities for the Audit of the Financial Statements section of our report. We are required to be independent of the Partnerships and to meet our other ethical responsibilities in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free of material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Partnerships’ ability to continue as a going concern for one year after the date that the financial statements are available to be issued.

Auditor’s Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free of material misstatement, whether due to fraud or error, and to issue an auditor’s report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists.



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The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Partnerships' internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Partnerships' ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Ernst + Young LLP

March 28, 2025

Peppertree Capital Fund X, LP
Peppertree Capital Fund X QP, LP

Combined Statement of Financial Condition

December 31, 2024

Assets

Cash and cash equivalents	\$ 47,774,799
Other assets	117,007
Portfolio investments at fair value	<u>559,884,301</u>
Total assets	<u><u>\$ 607,776,107</u></u>

Liabilities and partners' capital

Liabilities:

Accounts payable	<u>\$ 641</u>
Total liabilities	641

Partners' capital	<u>607,775,466</u>
Total liabilities and partners' capital	<u><u>\$ 607,776,107</u></u>

See accompanying notes.

Peppertree Capital Fund X, LP
Peppertree Capital Fund X QP, LP

Combined Statement of Operations

Year Ended December 31, 2024

Operating income

Interest income	\$	763,276
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Operating expenses

Management fee	\$	28,278,689
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Interest expense		2,717,666
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Unconsumated transaction costs		789,052
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Operational expenses		199,961
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Start up costs		168,199
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Professional fees		66,736
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Total operating expenses		<u>32,220,303</u>
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Net investment loss		(31,457,027)
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Net increase in unrealized appreciation on portfolio investments		<u>98,527,062</u>
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Net income	\$	<u><u>67,070,035</u></u>
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See accompanying notes.

Peppertree Capital Fund X, LP
Peppertree Capital Fund X QP, LP

Combined Statement of Changes in Partners' Capital

Year Ended December 31, 2024

	General Partner	Limited Partners	Total
Partners' capital – January 1, 2024	\$ 10,842,008	\$ 43,368,033	\$ 54,210,041
Capital contributions	2,708,750	476,786,640	479,495,390
Deemed contributions	7,000,000	–	7,000,000
Net income	2,150,614	64,919,422	67,070,035
Allocation of unrealized carried interest	13,816,100	(13,816,100)	–
Partners' capital – December 31, 2024	<u>\$ 36,517,472</u>	<u>\$ 571,257,995</u>	<u>\$ 607,775,466</u>

See accompanying notes.

Peppertree Capital Fund X, LP
Peppertree Capital Fund X QP, LP

Combined Statement of Cash Flows

Year Ended December 31, 2024

Operating activities

Net income	\$ 67,070,035
Adjustments to reconcile net income to cash used in operating activities:	
Increase in other assets	(117,007)
Decrease in accounts payable	(222,974)
Net change in unrealized appreciation on portfolio investments	(98,527,062)
Purchase of equity interests in portfolio investments	(305,615,102)
Net cash used in operating activities	<u>(337,412,110)</u>

Financing activities

Borrowings on line of credit	163,237,000
Repayment on line of credit	(264,557,000)
Capital contributions	486,495,390
Net cash provided by financing activities	<u>385,175,390</u>
Net increase in cash and cash equivalents	47,763,280
Cash and cash equivalents, beginning of period	11,519
Cash and cash equivalents, end of period	<u>\$ 47,774,799</u>

See accompanying notes.

Peppertree Capital Fund X, LP
Peppertree Capital Fund X QP, LP

Combined Schedule of Investments

December 31, 2024

	Industry	Securities at Cost	Fair Value	Percentage of Partners' Capital
K2 Towers III Holdings, LLC * 26.8% equity interest	Wireless Telecommunications Tower Acquisition	\$ 171,705,543	\$ 292,455,145	48.1%
Blue Sky Towers III, LLC 9,157.347 preferred units	Wireless Telecommunications Tower Acquisition & Development	9,157,347	15,819,174	2.6%
Northstar Towers II, LLC 6,046.835 preferred units	Wireless Telecommunications Tower Development	6,046,835	6,046,835	1.0%
TTH Holdings, LLC 1,531,307.88 preferred units	Wireless Telecommunications Tower Development	25,879,457	26,868,128	4.4%
Wireless Realty Advisors II, LLC 10,789.742 preferred units	Wireless Telecommunications Tower Acquisition	10,789,742	10,789,742	1.8%
Xcell Towers III, LLC 3,424.051 preferred units	Wireless Telecommunications Tower Development	3,424,051	4,897,374	0.8%
APC Towers IV, LLC 13,188.571 preferred units	Wireless Telecommunications Tower Development	13,188,571	14,631,269	2.4%
Branch Towers VI, LLC 3,956.571 preferred units	Wireless Telecommunications Tower Development	3,956,571	4,847,543	0.8%
Cell Ventures Capital, LLC 3,434.005 Class A preferred units	Wireless Telecommunications Tower Acquisition	3,434,005	3,466,226	0.6%
EIP Consolidated, LLC * 34,436.83 preferred units	Wireless Telecommunications Tower Acquisition & Development	62,941,825	71,223,046	11.7%
1 Source Towers II, LLC 1,264.112 preferred units	Wireless Telecommunications Tower Development	1,264,112	1,279,321	0.2%
Bennett Towers I, LLC 1,124.761 preferred units	Wireless Telecommunications Tower Development	1,124,761	1,447,123	0.2%
Sun State Towers V, LLC 2,339.105 preferred units	Telecommunications Tower Development	2,339,105	2,797,091	0.5%
TowerCo V Holdings, LLC 2,872.016 preferred units	Wireless Telecommunications Tower Acquisition & Development	9,871,982	11,350,457	1.9%
Tower Lease Partners, LLC 1.7% membership interest	Wireless Telecommunications Tower Acquisition	73,657	74,862	0.0%
Wireless Edge Towers III, LLC 4,339.786 preferred units	Wireless Telecommunications Tower Development	4,339,786	4,339,786	0.7%
Clearview Towers III, LLC 2,568.536 preferred units	Wireless Telecommunications Tower Development	2,568,536	3,786,086	0.6%
RU Towers, LLC 214.003 preferred units	Wireless Telecommunications Tower Development	214,003	214,003	0.0%

Peppertree Capital Fund X, LP
Peppertree Capital Fund X QP, LP

Combined Schedule of Investments (Continued)

December 31, 2024

	Industry	Securities at Cost	Fair Value	Percentage of Partners' Capital
Horvath Towers VI, LLC 5,553.134 preferred units	Wireless Telecommunications Tower Development	5,553,134	5,914,459	1.0%
NexTower Development Group II, LLC 4,456.741 preferred units	Wireless Telecommunications Tower Development	4,456,741	8,166,515	1.3%
Blue Sky Towers Caribe, LLC 8,361.055 preferred units	Wireless Telecommunications Tower Acquisition & Development	8,361,055	8,361,055	1.4%
TowerCo VI Holdings, LLC * 38,020.296 preferred units	Wireless Telecommunications Tower Acquisition & Development	38,020,296	39,373,602	6.5%
CV Equity I, LLC 3,671.836 Class A preferred units	Wireless Telecommunications Tower Acquisition	3,671,836	4,133,417	0.7%
Blue Sky Towers IV, LLC 10,152.710 preferred units	Wireless Telecommunications Tower Acquisition & Development	10,152,710	14,017,111	2.3%
Everest Blue Sites US, LLC 985.410 preferred units	Wireless Telecommunications Tower Acquisition	985,410	985,410	0.2%
WE Holdings I, LLC 1,533.855 preferred units	Wireless Telecommunications Tower Acquisition	1,533,855	1,634,019	0.3%
Liberty Wireless Infrastructure I, LLC 965.502 preferred units	Wireless Telecommunications Tower Acquisition	965,502	965,502	0.2%
		<u>\$ 406,020,428</u>	<u>\$ 559,884,301</u>	

Everest Blue Sites US, LLC invests in Portugal.

*Investment represents greater than 5% of Partners' Capital (net assets) as of December 31, 2024.

See accompanying notes.

Peppertree Capital Fund X, LP and Peppertree Capital Fund X QP, LP

Notes to Combined Financial Statements

Year Ended December 31, 2024

1. Organization and Description of Business

All capitalized terms are defined in the partnership agreement unless otherwise defined herein.

Peppertree Capital Fund X, LP and Peppertree Capital Fund X, QP, LP, Delaware limited partnerships (the Partnership or the Fund), were formed as limited partnerships and accepted its first commitment on November 17, 2023, for the purpose of making private equity investments in wireless communication tower developers and acquirers. The Partnership operates as an investment company in accordance with Accounting Standards Codification (ASC) 946, *Financial Services – Investment Companies*.

The Partnership's General Partner is Peppertree Capital FX, LP (the General Partner), a Delaware limited partnership. The Partnership is managed by PCM Future Advisor, LLC (the Manager). In accordance with the Agreement of Limited Partnership (the Partnership Agreement), the Partnership will continue until January 22, 2034, unless terminated earlier or extended as provided for in the Partnership Agreement.

The Partnership has Limited Partner capital commitments of \$1,986,611,000 of which \$476,786,640 has been contributed as of December 31, 2024. The General Partner has made a capital commitment of \$43,930,990 to the Fund of which \$9,708,750 has been contributed as of December 31, 2024. Each partner is required to fund committed capital contributions within ten days of notice.

2. Significant Accounting Policies

The following is a summary of the Partnership's significant accounting and reporting policies.

Method of Accounting

The financial statements are prepared in conformity with U.S. generally accepted accounting principles (U.S. GAAP).

Cash and Cash Equivalents

The Partnership considers all highly liquid investments with a maturity of three months or less when purchased to be cash equivalents. The Partnership is subject to credit risk to the extent cash balances held at financial institutions exceed federally insured limits. Interest income is accrued as it is earned on cash and cash equivalents.

Peppertree Capital Fund X, LP and Peppertree Capital Fund X QP, LP

Notes to Combined Financial Statements (continued)

2. Significant Accounting Policies (continued)

Portfolio Investments

Investments are carried at fair value as determined by the General Partner. Realized gains and losses on investments are computed based upon the difference between the sales price or value at the time of sale or distribution and original cost of investments.

Income Taxes

The Partnership pays no income taxes, as the operating results are included in the tax returns of the partners.

The Partnership is subject to the provisions of ASC 740-10, *Income Taxes*. The Partnership has analyzed its tax positions with respect to applicable income tax issues for open tax years (in each respective jurisdiction) and determined no material tax liabilities existed.

The Partnership recognizes interest and penalties, if any, related to unrecognized tax benefits as income tax expense in the statement of operations. During the year ended December 31, 2024, the Partnership did not accrue any interest or penalties.

Each partner is individually required to report on its own tax return its distributive share of the Partnership's taxable income or loss.

Use of Estimates

The preparation of financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect the amounts reported in the financial statements and accompanying notes. Actual results could differ from those estimates.

3. Investments

The Partnership primarily acquires equity investments in portfolio companies. The Partnership enters into investments based on an evaluation performed by the General Partner's management. The General Partner's management evaluates each business' financial condition and potential for growth, among other factors. Generally, collateral is not required. Generally, the Partnership's potential for loss is equal to the carrying value of the investment.

Peppertree Capital Fund X, LP and Peppertree Capital Fund X QP, LP

Notes to Combined Financial Statements (continued)

3. Investments (continued)

Substantially all investments are in securities which are subject to one or more restrictions on resale and are not freely marketable. The fair value of restricted securities will generally be considered to be the amount which a knowledgeable investor might reasonably be willing to pay on the valuation date for the securities in an arm's length transaction after a full opportunity to study the underlying company.

ASC 820, *Fair Value Measurements* provides guidance for using fair value to measure assets and liabilities and establishes a hierarchal disclosure framework which prioritizes and ranks the level of market price observability used in measuring investments at fair value. Market price observability is affected by a number of factors, including the type of investment and the characteristics specific to the investment. Investments with readily available actively quoted prices or for which fair value can be measured from actively quoted prices generally will have a higher degree of market price observability and a lesser degree of judgment used in measuring fair value.

Financial instruments measured and reported at fair value are classified and disclosed based on the observability of inputs used in the determination of fair values, as follows:

- Level I – inputs to the valuation methodology are quoted prices available in active markets for identical instruments as of the reporting date. The type of financial instruments included in Level I include actively quoted unrestricted securities and escrow proceeds.
- Level II – inputs to the valuation methodology are other than quoted prices in active markets, which are either directly or indirectly observable as of the reporting date. The type of financial instruments in this category includes investments valued at quoted prices adjusted for observable legal or contractual restrictions specific to the security.
- Level III – inputs to the valuation methodology are unobservable and significant to overall fair value measurement. The inputs into the determination of fair value require significant management judgment or estimation. The fair value of these instruments may be estimated using a combination of observed transaction prices, models or other valuation methodologies based on pricing inputs that are neither directly or indirectly market observable. Financial instruments that are included in this category include private portfolio investments that are supported by little or no market activity.

Peppertree Capital Fund X, LP and Peppertree Capital Fund X QP, LP

Notes to Combined Financial Statements (continued)

3. Investments (continued)

In certain cases, the inputs used to measure fair value may fall into different levels of the fair value hierarchy. In such cases, the determination of which category within the fair value hierarchy is appropriate for any given financial instrument is based on the lowest level of input that is significant to the fair value measurement. The Partnership's assessment of the significance of a particular input to the fair value measurement in its entirety requires judgment and considers factors specific to the financial instrument. The Partnership values its investments using valuation methodologies applied on a consistent basis.

Information about Significant Inputs Used in Fair Value Measurements Categorized Within Level III

The following table summarizes quantitative information about the Partnership's Level III investments and inputs as of December 31, 2024:

<i>(In Thousands)</i>	Fair Value of Portfolio Investments	Valuation Technique	Unobservable Inputs	Range
December 31, 2024	\$ 559,884	Market comparable companies	Tower cash flow multiple Book value multiple	31.0x-38.0x n/a

Valuation Technique for Fair Value Measurements Categorized Within Level III

The Partnership's portfolio investments and related activity were categorized as Level III for the year ended December 31, 2024 since our judgment significantly influences the determination of fair value and there is typically no active market for these investments. The General Partner is responsible for determining the fair value of these investments. Additionally, the Partnership's Advisory Board is responsible for reviewing and approving the fair value of the funds' investments on a quarterly basis. The Advisory Board may obtain input from investment professionals for consideration in carrying out its responsibilities. For Level III inputs that are less observable, to the extent possible, procedures have been established to discuss the valuation methodology with senior management of the General Partner, taking into account the quality of the observable inputs and the financial and economic risks associated with the investments.

Peppertree Capital Fund X, LP and Peppertree Capital Fund X QP, LP

Notes to Combined Financial Statements (continued)

3. Investments (continued)

Among the factors considered in determining the fair value of each of the portfolio securities are the length of time since the investment was made, the rights and terms of the securities, prices at which subsequent arm's-length financings occurred, the financial condition and operating results, recent sales prices of comparable market transactions, the proportion of the securities owned by the Partnership, nature and duration of resale restrictions applicable to securities owned by the Partnership, and cash flows generated by the underlying portfolio investment. Valuations as of any particular date, however, are not necessarily indicative of amounts which the Partnership may ultimately realize as a result of future sales or other disposition of the private equity investments.

4. Partner's Allocations and Distributions

At the discretion of the General Partner, distributions may be made by the Partnership. Such distributions may be for taxes on net income of the Partnership, or may include discretionary distributions of cash not required for operational purposes or distributions in kind. The Partnership Agreement provides that distributions be allocated to the General and Limited Partners as follows:

- a) Return of capital: First 100% to the partners in proportion to their respective capital contributions until each has received cumulative distributions equal to the amount of its capital contributions for all realized investments and partnership expenses;
- b) Priority return: Second, 100% to the partners in proportion to their respective capital contributions until cumulative distributions represent an 8% per annum rate of return, compounded annually, on such partners' unreturned capital contributions;
- c) General Partner catch-up: Third, 100% to the General Partner until such time as the General Partner has received 20% of the sum of the Priority Return and distributions made pursuant to this paragraph (c); and
- d) 80/20 split: Thereafter, 80% to the Limited Partners pro rata in proportion to their respective capital contributions and 20% to the General Partner.

Peppertree Capital Fund X, LP and Peppertree Capital Fund X QP, LP

Notes to Combined Financial Statements (continued)

5. Related-Party Transactions

The Manager is paid an annual management fee, payable quarterly, equal to 2% multiplied by the lesser of the total commitments of the partners and \$1,500,000,000 for the first four years (the investment period), equal to 2% of the lesser of the total commitments of the partners and \$1,500,000,000 less the Fund's cost basis of realized investments for one year following the investment period, and equal to 2% of the aggregate capital contributions of the partners attributable to investments less the cost basis of realized investments thereafter. Management fees for the year ended December 31, 2024 were \$28,278,689.

The General Partner may elect to irrevocably waive management fees by delivering written notice to the Partnership. The amount of the waived management fee shall be treated as a deemed contribution by the General Partner. Management fees waived in 2024 were \$7,000,000.

Certain of the Partnership's investments are also held by Peppertree Capital Fund VI, LP and Peppertree Capital Fund VI QP, LP which commenced operations on April 26, 2016, Peppertree Capital Fund VII, LP and Peppertree Capital Fund VII QP, LP which commenced operations on November 19, 2018, by Peppertree Capital Fund VIII, LP and Peppertree Capital Fund VIII QP, LP which commenced operations on January 17, 2020 and by Peppertree Capital Fund IX LP and Peppertree Capital Fund IX QP, LP which commenced operations on March 14, 2022 (the Prior Partnerships).

One of the Partnership's investments, K2 Towers III, LLC, is managed by principals of the General Partner.

The Partnership is one of several guarantors of the indebtedness of one of its portfolio companies (1Source Towers II, LLC) related to its credit agreement with Peppertree Capital Senior Debt Fund, LP. As of December 31, 2024, the maximum loan balance under the signed credit agreement is \$3,400,000, of which \$3,225,000 was outstanding.

The Partnership is one of several guarantors of the indebtedness of one of its portfolio companies (Tower Lease Partners, LLC) related to its credit agreement with Peppertree Capital Senior Debt Fund, LP. As of December 31, 2024, the maximum loan balance under the signed credit agreement is \$2,250,000, of which \$2,170,000 was outstanding.

Peppertree Capital Fund X, LP and Peppertree Capital Fund X QP, LP

Notes to Combined Financial Statements (continued)

6. Line of Credit

The Partnership has a \$150,000,000 line of credit with CIBC Bank USA, which is secured by and limited to the amount of undrawn capital commitments of the Partnership. Proceeds from the facility are used to make investments and pay management fees prior to draws of committed capital. Interest is charged at the Prime rate minus 0.50% per annum (7.00% at December 31, 2024 and is paid within 180 days of the advance on the line of credit. Interest paid was \$2,717,666 in 2024. As of December 31, 2024, \$0 was outstanding on the line of credit.

7. Selected Financial Highlights

The following financial highlights are being presented in accordance with the requirements of ASC 946 for the year ended December 31, 2024:

Internal rate of return (net), since inception:

Beginning of year	n/a
End of year	37.17%

Ratios to average Limited Partners' capital:

Expenses before carried interest to the General Partner	(10.12)%
Carried interest to the General Partner	(4.35)%
Expenses including carried interest to the General Partner	(14.47)%
Net investment income (loss)	(9.88)%
Ratio of capital contributions received to total capital commitments	24.0%

The internal rate of return (IRR) since inception of the Limited Partners is net of allocations to the General Partner/Manager. The IRR was computed based on the actual dates of capital contributions and distributions and the aggregate net assets at the end of the year (residual value) of the Limited Partners' capital.

Operating expense and net investment loss amounts used to calculate the ratios include amounts allocated to the Limited Partners' capital accounts only, which are also net of any allocations to the General Partner.

The ratios are computed on the weighted-average net assets of the Limited Partners for the year ended December 31, 2024. Net investment loss, as defined, excludes realized and unrealized gains and losses.

Peppertree Capital Fund X, LP and Peppertree Capital Fund X QP, LP

Notes to Combined Financial Statements (continued)

7. Selected Financial Highlights (continued)

Results for the year ended December 31, 2024 may not be indicative of the future performance of the Fund. An individual Limited Partner's return may vary from these returns.

8. Subsequent Events

The General Partner has evaluated subsequent events, including any potential commitments or contingencies, through March 28, 2025, the date the financial statements were issued, and believes that there are no material subsequent events that have occurred through that date that have not already been reflected in the financial statements and/or disclosed in the notes.

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